McKinsey & Company

Auto Financing Strategy

Steering Committee #2

10th July 2025

EUROBANK

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Objectives of the meeting

- Discuss **“how to win”** for different value creation opportunities
- Discuss **preliminary journey** and **initiatives prioritization** for Eurobank to reach target
- Align on **next steps**

Executive summary

The **auto finance retail market** is projected to **grow** at a **~10% CAGR** from 2024 to 2030, with a notable **shift towards leasing**, which is expected to account for ~40% of the Retail RAR market by 2030. Despite maintaining a leadership position, **Eurobank is experiencing a decline**, particularly in **the used car segment**, with a ~**10pp drop in market share** from 2021 to 2024, translating to a significant missed opportunity in revenue (~2-3M€). Without intervention, this trend is likely to worsen

To defend and potentially expand its market share, **Eurobank can establish itself as the #1 "captive" bank for independent dealers**, with an opportunity to capture additional **30-40M€ RAR in retail**, reaching **60-70€ RAR by 2030** (~30% market share)

Fight back competition and regain leading position in auto loan (+15-20M€ RAR):

- Boost used car financing by introducing a new policy framework to enhance approval, by leveraging AA models for ERB customers (and potentially to all customers through open banking aggregation) and by launching balloon financing for used cars (+7-9M€ RAR);
- Redesign the B2B offering by introducing interest-free periods for floor plans, launching new products like balloon financing for RAC, and enhancing the dealer platform for streamlined credit processes. This includes integrating with dealer management systems for real-time inventory visibility (+8-10M€ RAR);
- To fully capture the potential, **pivotal shifts** would be required: (i) developing **repossession capabilities** to allow loan collateralization, (ii) changing the bank's car business **risk appetite** and reflect it in **credit policies** on both **retail** (e.g., eliminating mandatory down payments regardless of car age and revising risk rules to reduce rejection) and **dealers** (e.g., adopting a tiered credit approach for top-tier dealers, with lighter collateral and faster approvals for top-tier dealers, while evolving credit models to integrate commercial and behavioral data)

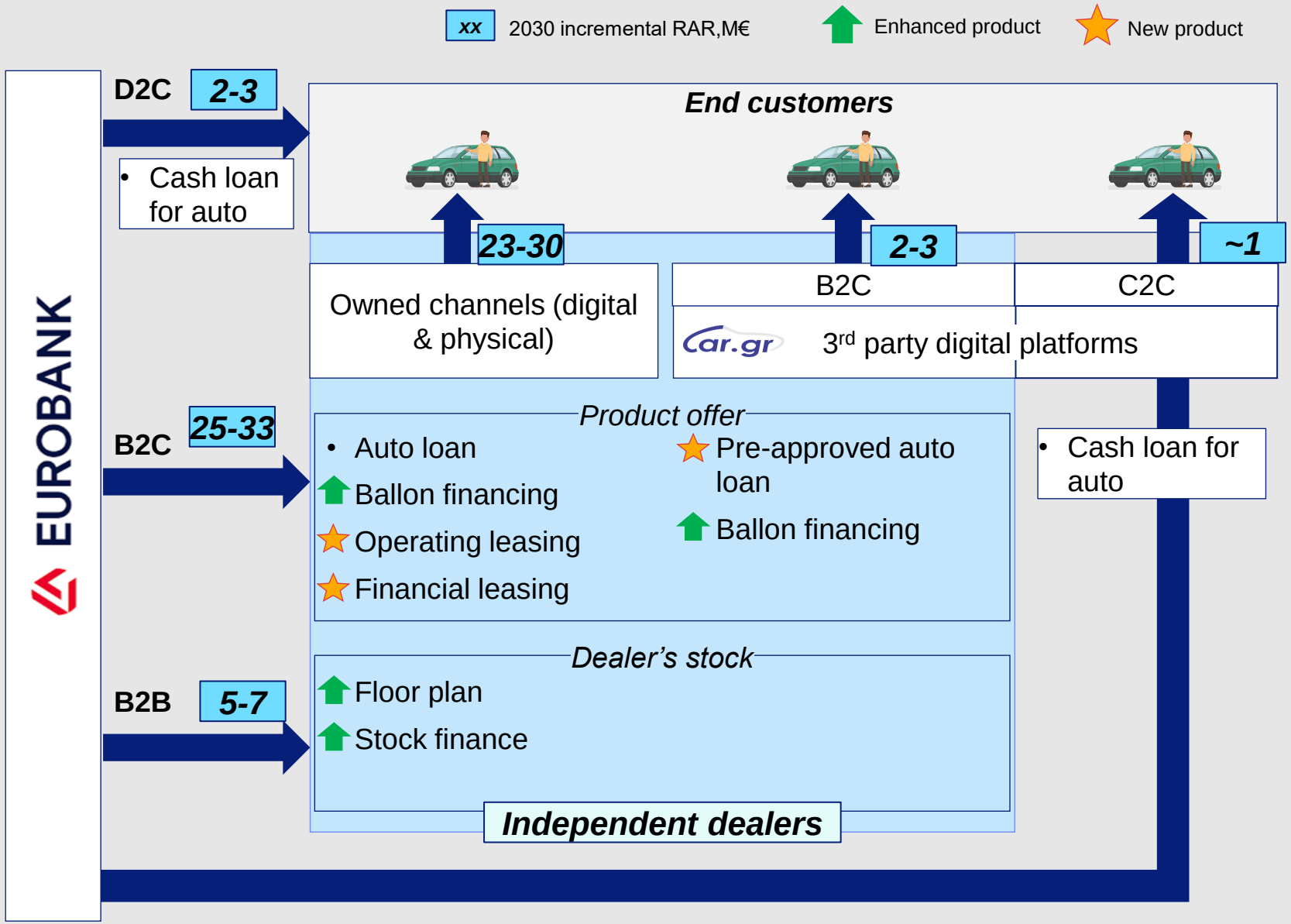
Future proof ERB business model by expanding into new products and channels (+20-25M€ RAR):

- Enter the retail leasing market through organic or inorganic means, with potential revenue gains of 12-15M€ - *options detailed next*
- Enhance digital presence on Car.gr with a cash loan offering for C2C (individual listings) and auto loans on B2C listings from Eurobank's dealer partners; collaborate with Cardom to offer E2E digital auto loans (+3-4M€ RAR)
- Partner to embed Eurobank financing into Toyota's platform (+1-2M€ RAR);
- Offer a D2C branded "cash loan for auto" offering via Eurobank direct channels (+2-3M€ RAR)

Key operating model shifts required:

- Invest in tools and infrastructure (with Capex still need to be determined)
- Review the current operating model to ensure an effective and scalable go-to-market strategy

By 2030, Eurobank can position itself as the #1 "captive" bank for independent dealers



ERB should prioritize regaining market share in the auto loan segment before expanding into new products and channels

- Increase used car financing
- Expand digital presence
- Redesign end-to-end B2B offering
- Pivotal shift
- Enter retail leasing market

Immediate priorities (next 6 months) → **Mid-term priorities (12-24 months)** → **Long-term priorities (24+ months)**

A Fight back competition and regain leading position in auto loan

- Change **risk appetite** and enhance **credit policies** on **retail** and **dealers**
- Develop **repossession capabilities** to allow **loan collateralization**
- Boost **used car financing** through **new policy framework** and **balloon financing**
- Expand **existing floorplans** to **new dealers**
- Introduce **stock financing** for **dealers** and **balloon financing** for **RAC**
- Revamp **floorplans** and **stock financing** by developing a **dealer platform**

B Future proof ERB business model by expanding into new products and channels

- Develop **financial lease** for **retail**
- Enter **retail operating lease** market
- Partner to embed **Eurobank financing** into **Toyota's platform** (in-flight)
- Enhance **digital presence** (**Car.gr**) with a **C2C cash loan** and **B2C auto loan**
- Collaborate with **Cardom** to offer **E2E digital auto loans**
- Offer a **D2C cash loan for auto** on **direct channels**

C Key operating model shifts

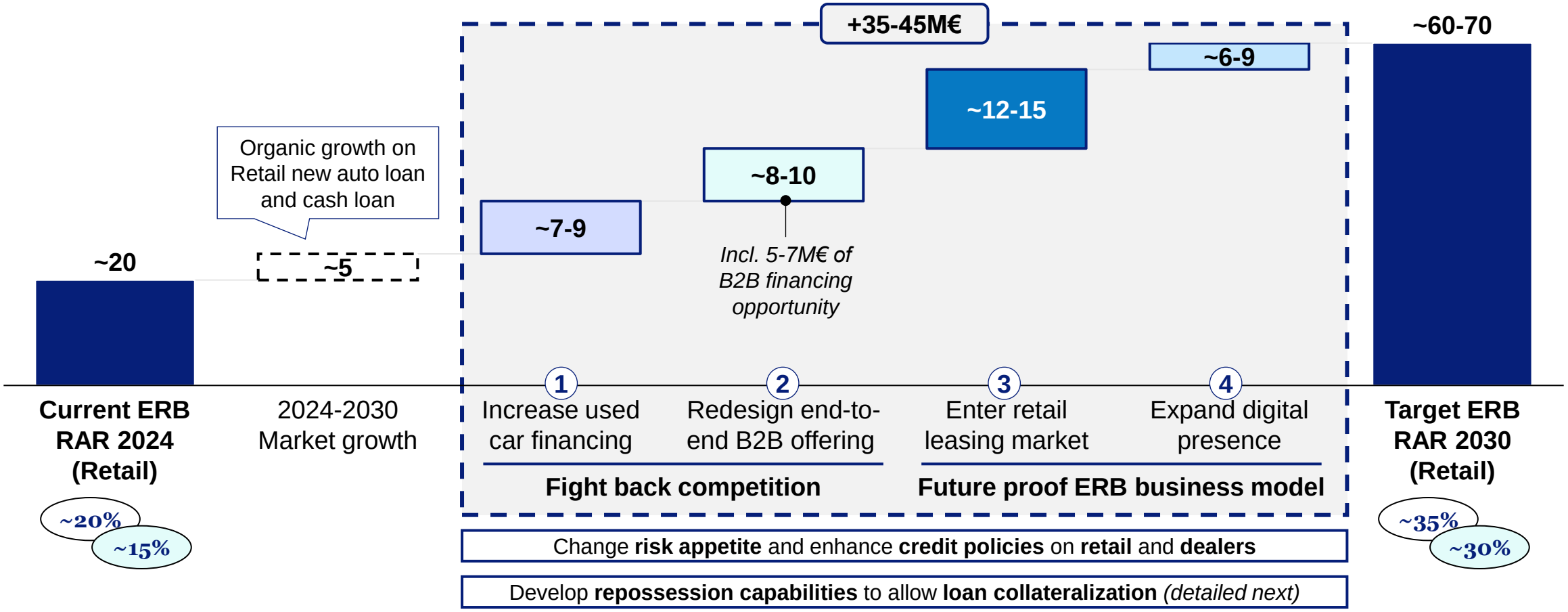
- Invest in **tools and infrastructure**
- Review the **current operating model** to ensure an **effective** and **scalable go-to-market strategy**

Opportunity to capture additional 35-45M€ RAR in retail, reaching 30-35% market share by 2030

Increase used car financing | Redesign end-to-end B2B offering | Enter retail leasing market | xx Eurobank individual market share, %

Expand digital presence | xx Eurobank end-consumer retail (individual & SME) market share, %

ERB RAR evolution 2024-2030,M€



1. Does not include moto; includes consumer loans for auto purposes
2. Computed assuming 2024 ERB MS constant in already served market, and computed on 2030 market size: dealers' channels: (35% MS on new cars, 15% MS on used cars) and ~30% via Bank's channels

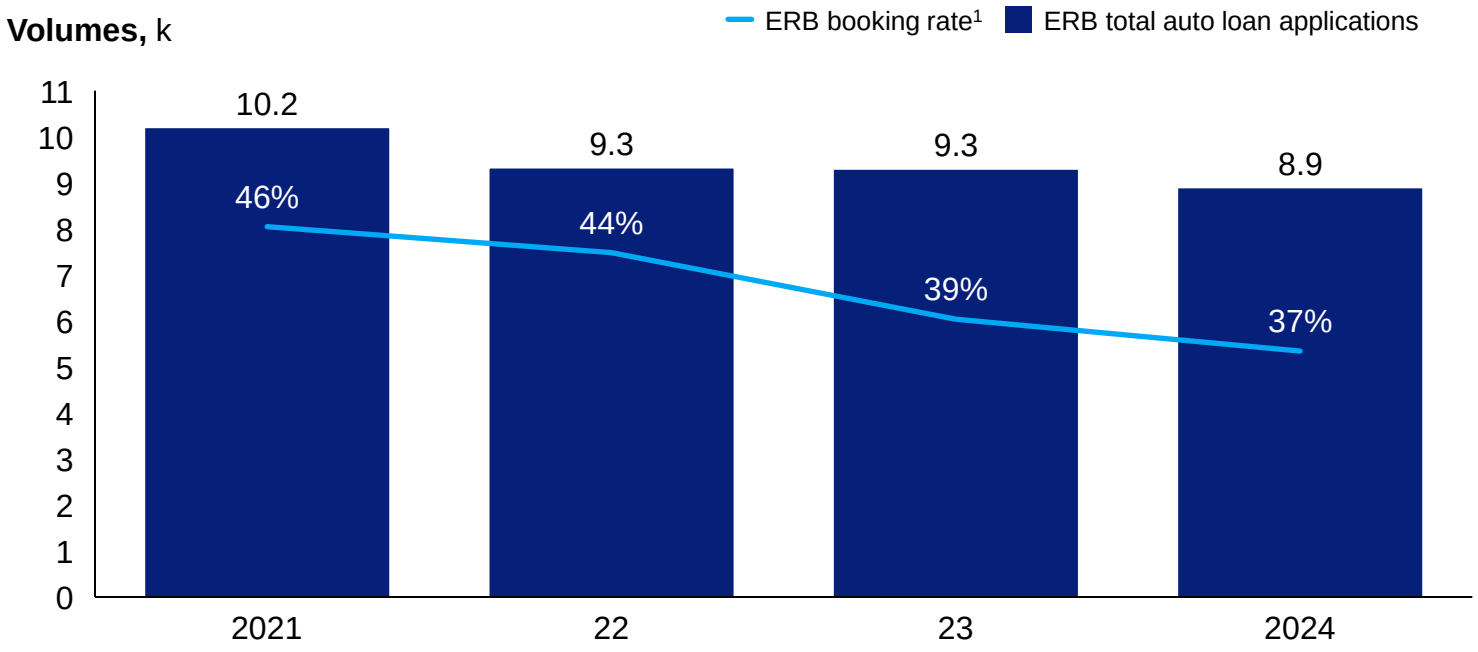
1 | Increasing used cars financing – Key insights

- In a growing market, **Eurobank experienced a decline in auto loan applications** (i.e., -15%), leading to **~10pp drop** in **market share,** mainly due to:
  - **Increase in competition** both from systemic and captive banks;
  - **Reduction in booking rate** (from 45% in 2021 to 37% in 2024), as dealers increasingly redirect applications to competitors.
- **Current Eurobank booking rate** level is mainly driven by:
  - **33% rejections**, with customer credit history being the main reason, followed by DTI[1] ratios;
  - **>25% cancelled counteroffers**, due to mandatory down payments (>35% of car value) and guarantor, for cars age >9 years at end of loan duration.
- **Interviews with dealers revealed** that **competitors apply more "relaxed" credit policies** (e.g., more flexible credit policies for cars age <15 years)**, resulting** in **higher booking rates** (e.g., 60-70% systemic banks, >80% captive banks)
- In this context, **2 initiatives already confirmed may allow Eurobank to double its used cars financing volumes** (from 30M€ loan disbursement in 2024 to ~60M€ in 2030), achieving ~20% of market share by 2030:
  - **A | Introduce a new policy framework** (i.e., leveraging AA models) **to enhance approvals for high-conviction zone customers** (i.e., PD[2] <3%), accounting for 40-50% of total used cars applications, potentially increasing booking rate up to ~45%, mainly by reducing the number of counteroffers;
  - **B | Launch ballon financing for used cars with car age <9 years at end of loan duration,** with no downpayment and more attractive pricing, leveraging on dealers' buy-back agreement as collateral, to enhance the overall value proposition and boost competitiveness
- To capture the **full potential**, Eurobank should consider also:
  - **Further adjusting of credit policy** (e.g., no mandatory downpayment for all clients regardless car age) to align with competitors;
  - **Review of risk rules for rejections** (~30%), especially for cars age >9 years at end of loan duration, evaluating trade-off between the increase in business and the impact on the cost of risk

1. Debt-to-Income
2. Probability of Default

1 | In a growing market, Eurobank experienced a decline in auto loan applications and booking rate, leading to ~10pp drop in MS

Evolution of Eurobank used auto loan applications (k#) and booking rate (%)



	2021	22	23	2024
ERB used auto loan applications/ financed cars via dealer channel	~50%	~42%	~42%	~38%
ERB MS incl. OEM captives, %	~22%	~20%	~18%	~13%
ERB MS within independent dealers, %	~25%	~23%	~20%	~15%

1. Booking rate calculated as: Applications disbursed/ Total incoming applications

Source: Team analysis

Potential drivers of ERB market share decline

A | Decrease in **booking rate**, leading to:
- **lower incoming application volumes** due to reduced approval competitiveness
- **reduced** auto loan **disbursements**

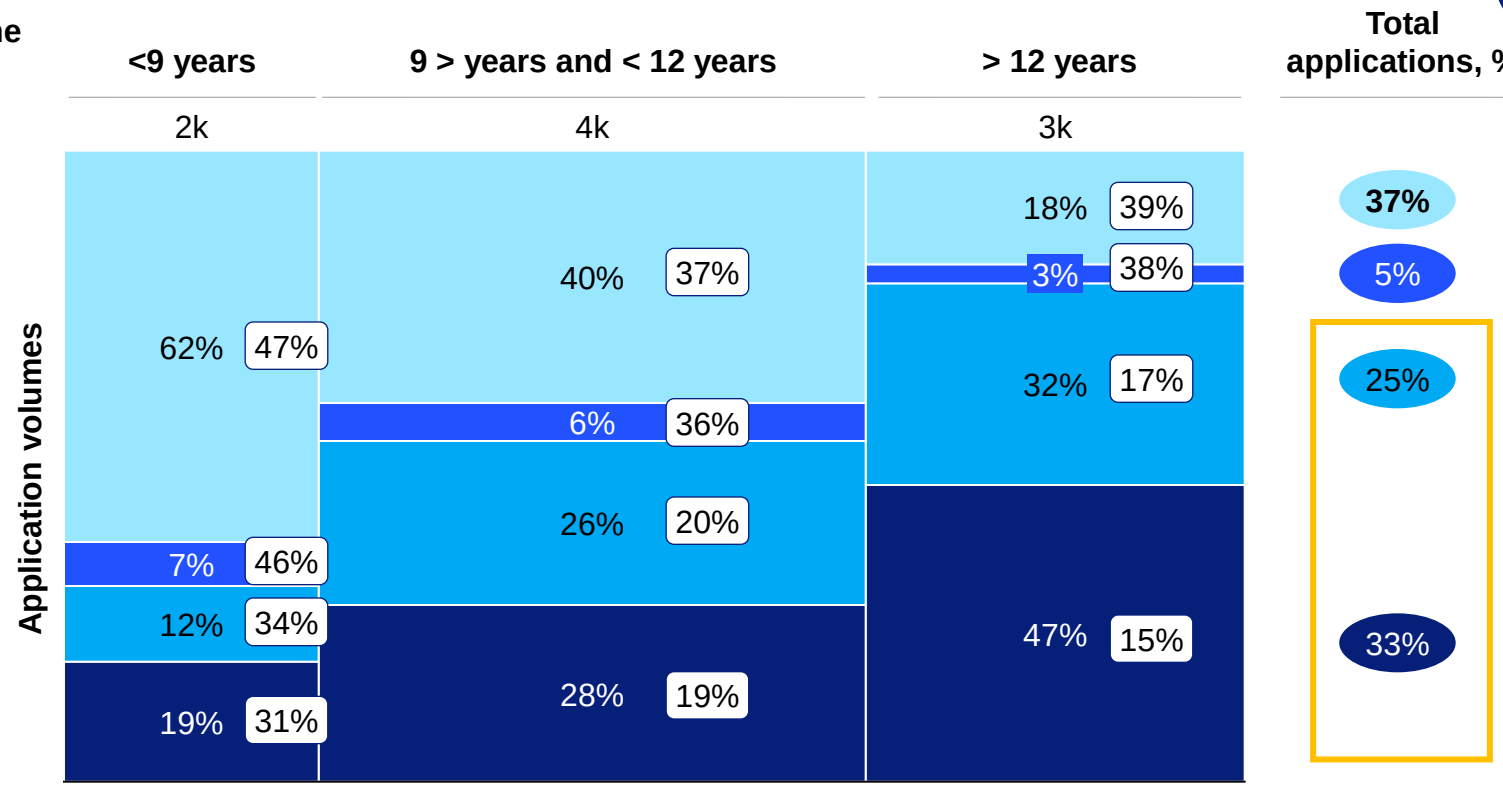
B | Increase in **competition** from **new entrants** and **captive banks**

1A | Eurobank booking rate for used cars driven by rejections and counteroffers

Preliminary

Avg. down-payment[1], % | xx | Disbursed | Approved & Cancelled | Cunteroffer & Cancelled | Rejected

Eurobank used auto loan application outcomes, by car age plus loan term (k#)



1. Downpayment as percentage of car value
2. Booking rate calculated as: Applications disbursed/ Total incoming applications; it excludes applications cancelled before Bank decision

Source: Team analysis

Key remarks

- The key **drivers** of Eurobank **low booking rate** are **rejections** and **counteroffers**, particularly in the segment where car age plus loan term exceeds 9 years (~80% applications)
- In addition, **disbursements** tend to concentrate on applications with **down payment above 37%**, with remaining cases resulting in rejections or counteroffers

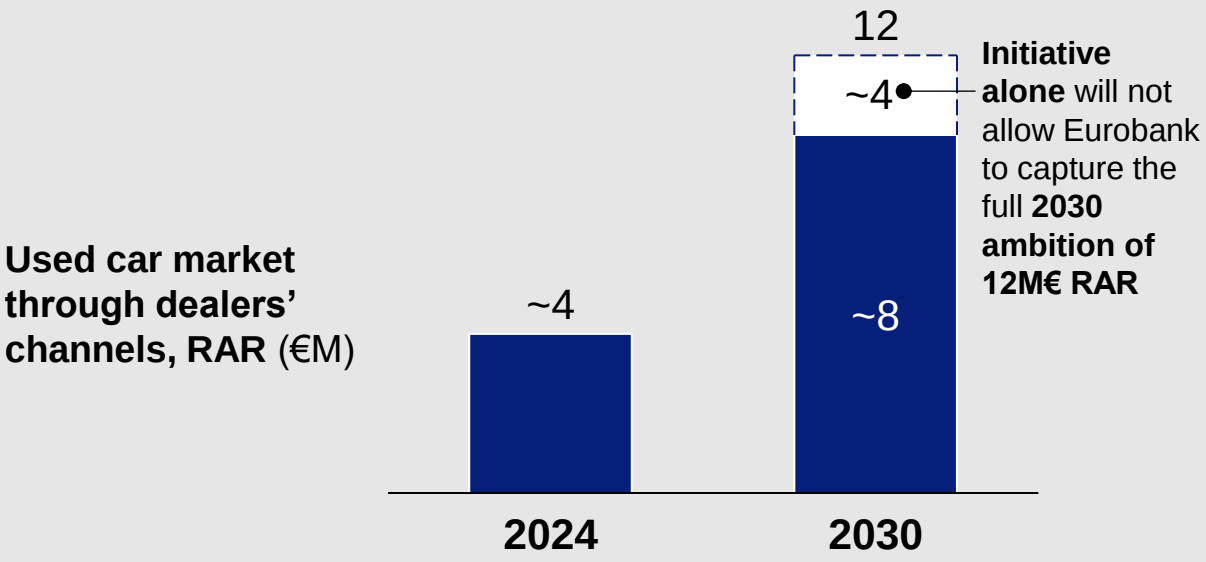
1 | Two confirmed initiatives could enable Eurobank to double its used car financing volume and reach ~20% market share by 2030

Initiatives

A | Introduce AA learning to "relax" credit policy for high-conviction zone customers (i.e., PD <3%), accounting for 40-50% of total used cars applications, potentially increasing booking rate up to 45%), mainly by reducing the number of counteroffers

B | Launch ballon financing for used cars with car age <9 years at end of loan duration, with no downpayment and more attractive pricing, leveraging on dealers' buy-back agreement as collateral, to enhance the overall value proposition and boost competitiveness.

Potential impact for Eurobank by 2030



	2024	2030
ERB MS via independent dealers, %	~15%	~20%
Number of financed cars, k	~3	~5
Loan disbursements, €M	~30	~60

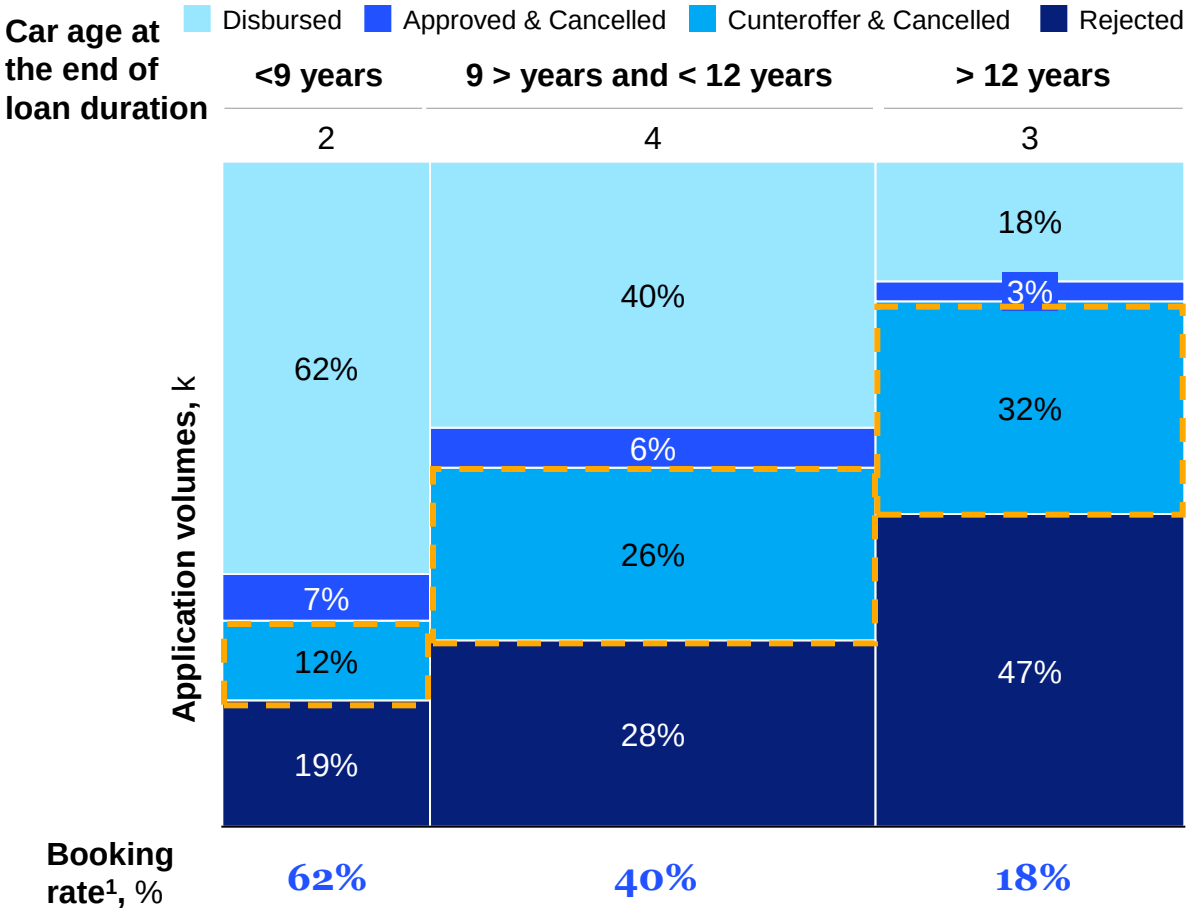
1A | The introduction of AA models in consumer lending will create the opportunity to reduce counter offers for used auto

New consumer lending policy

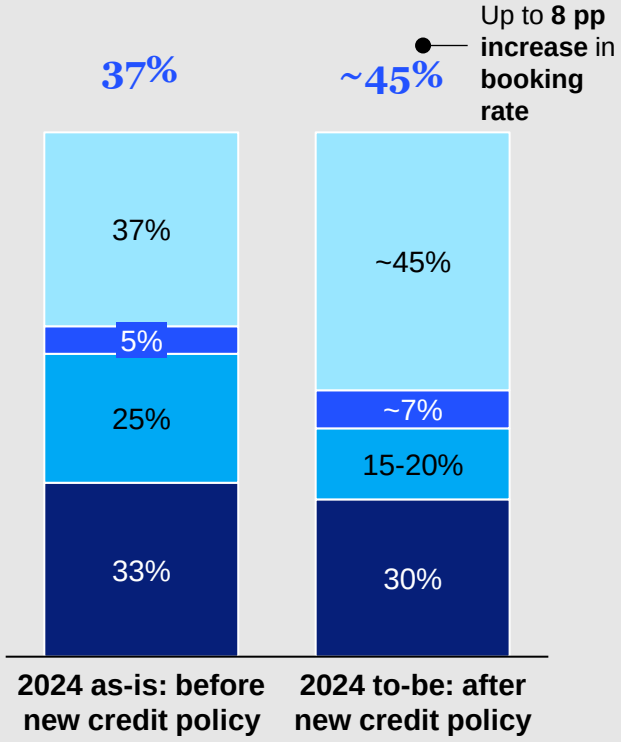
- Eurobank is introducing **AA models to identify "Green Clients"** (i.e., borrowers in the high-conviction zone with a probability of default <3%)
- For these clients, loan approval will be recommended with **no additional mandatory guarantees** (e.g., minimum down payment)

Main area impacted by the new policy

Eurobank as-is used auto loan application outcomes, (k#)



Potential impact on Eurobank booking rate



Preliminary estimates show that **~40-45%** of **counteroffers** fall in the **high conviction zone** (*Preliminary – subject to policy approval by Credit*)

1. Booking rate calculated as: Applications disbursed/ Total incoming applications; it excludes applications cancelled before Bank decision

Source: Team analysis

1B| To further strengthen its position in used car financing, Eurobank can launch ballon financing targeting this segment

Preliminary

★ Key changes vs. current offer

Key guidelines on balloon financing evolution

- Extension of **balloon financing** to **used cars**
- **No down payment required**, aligning with established practices in other markets
- **Revised credit policy** (e.g., **vehicle** as **collateral** via dealers' **buy-back agreements**, customer **DTI excl. ballon payment**)

Key characteristics	Current offering	Potential target offering
Target cars	New cars	★ New and used cars
Downpayment	Minimum 15%	★ No downpayment
Dealer coverage	Toyota and Mercedez Benz dealers	★ Potentially extend to additional dealers
End-of-term options	• Balloon repayment • Refinancing • Return the car via the dealer buy-back agreement	Same options maintained, also for used cars
Credit policy	• Car buyback agreement not recognized as collateral • Customer DTI assessed based on full car value	★ Car considered as collateral via dealer buyback agreement ★ Customer DTI assessed excluding balloon payment
Pricing	Similar to auto loans (e.g., ~8% + 0.6% interest for new cars)	★ Lower than auto loans, leveraging dealer-backed collateral to reduce CoR

Expected value drivers

- Impact expected on loans where **car age plus loan term is below 9 years,** supported by dealer buy-back agreements
- **Key value drivers** include:
  - **decrease in rejections**, driven by lower monthly installments that improve DTI ratios
  - **Higher number of financing applications**, enabled by the removal of down payment requirements

Source: Team analysis, Eurobank interviews

2 | Redesign end-to-end B2B offering – Key insights

- **B2B financing** is critical for **dealers' and RACs businesses** and will represent a **market opportunity of ~1.5 B€** of **loan disbursements** by **2030**
- **Competition** – **specialized auto banks** and **captives** – is offering **tailored** and **digital B2B solutions** (e.g., dealer portal, RAC financing with buy-back options, stock finance, asset repossession) and **linking** it to the size of their **retail business** (e.g., for 1€ of B2B financing, 2-3€ of retail financing), which **puts at risk Eurobank** position in **retail auto finance**
- **Eurobank** used to offer **B2B financing** to dealers (i.e., stock finance) but **scaled back** during the recession, and it is now **re-entering the market** with a **floor plan** for **Toyota** (covering only ~60% of their dealers)
- To protect the core business, Eurobank should **redesign its B2B offering** across **three key pillars**:

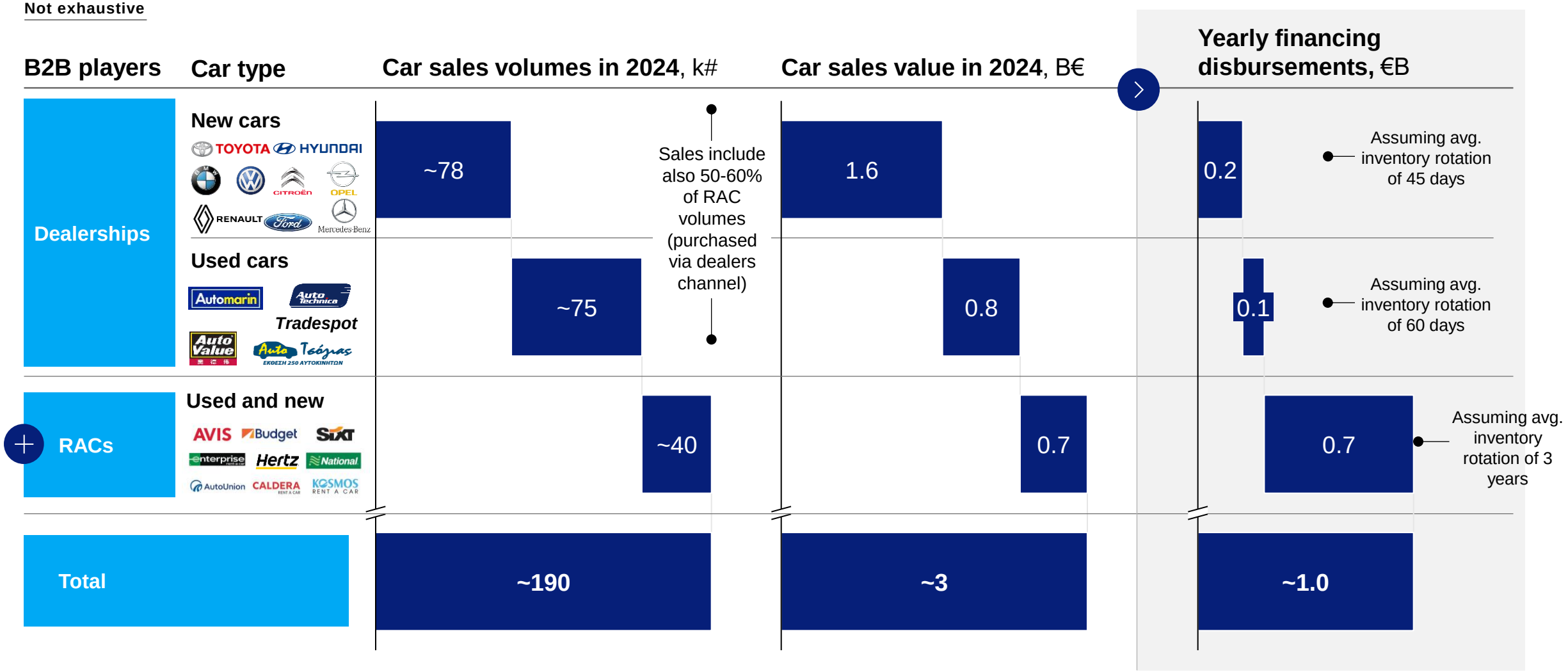
  A. **Product & Commercial**: enhance B2B offering with additional features (e.g., interest-free periods for floor plans) and launch balloon financing for RACs, linking dealers commercial terms with Eurobank's share of wallet in retail financing

  B. **Systems & Processes**: enhance the dealer platform to streamline credit processes, including integration with dealer management systems for real-time inventory visibility

  C. **Risk Appetite**: evolve credit models and risk appetite to support more flexible B2B underwriting and broaden market reach, leveraging vehicle repossession to mitigate risk
- This strategy can allow Eurobank to capture **5-7M€** in **RAR** from **B2B financing** by 2030
- Additionally, it will serve as a **strategic lever** to regain **Eurobank historical fair share in retail auto financing** through **dealerships** (+3-5pp), generating an additional **3-4M€ in RAR financing** by 2030

2 | In 2024, dealerships and RACs financing disbursements combined represented ~1B€ opportunity

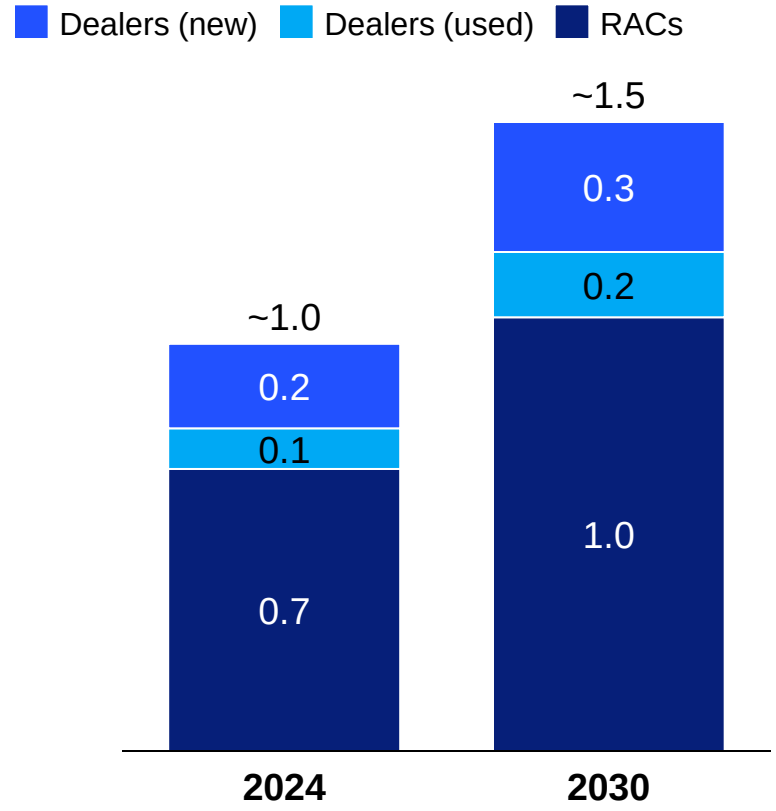
Not exhaustive



1. New car value: 20000€ excl. VAT; Used car value: 10000 k€, excl. VAT; for RACs 15k € is the weighted average car value, considering 60% new cars and 40% used car volumes

2 | By 2030 disbursements are expected to increase to 1.5 B€, with the opportunity for Eurobank to capture ~10M€ RAR

Yearly disbursements, B€



Car sales, k#

190 | 250

Potential ERB MS, % | **Potential target partners (illustrative)**

25%

25%

10%

Smaller independent RACs (50-60% of the market)

B2B financing opportunity

+225M€ B2B loan disbursements (+125M€ to dealerships, +100M€ to RACs)

+5-7M€ incremental RAR from **B2B financing**[1]

Incremental retail opportunity

+30M€ retail loan disbursements from increased Eurobank **penetration** in end consumer financing (+3-5pp MS)

+3-4M€ incremental RAR

1. Considering 2.5% spread for floor plan financing (new cars) and 3% spread for Stock finance (used cars) and ~1000 RAR car for RACs financing

2 | The B2B market for dealers and RACs is served by traditional bank financing and specialized auto finance solutions

Eurobank core positioning | Target market for Eurobank

B2B financing market

B2B players

Dealerships

New auto

Used auto

RACs

Example of key financial players

Traditional B2B market with limited differentiation for auto

- **Systemic banks** traditionally offering **B2B financing** (e.g., term loans, credit lines, working capital loans) with **limited tailoring** to **auto dealers** and **RACs**
- **Legacy banking systems, standardized credit policies** and **collateral-heavy** underwriting
- Some offer **leasing via subsidiaries** (e.g., Alpha Leasing, Eurobank Leasing)

EUROBANK, NATIONAL BANK OF GREECE, Piraeus, ALPHA BANK

Specialized B2B market for auto

OEM captives and **specialize auto banks** offering competitive **B2B financing** for **dealerships & RACs,** enabled by **digital platforms** and **flexible credit models,** also supported by **asset repossession**

Floor plan financing for new vehicle inventory

Used car stock finance

Flexible RAC financing (e.g., with importer/ dealer buy-back agreement)

CA AUTO BANK, Volkswagen, BMW, Santander, STELLANTIS FINANCIAL SERVICES

Dealers' interviews revealed **3 key paint points** of ERB B2B value proposition:

- lack of **tailored B2B financing** (e.g., RACs, stock finance for used cars)
- absence of **digital platforms** for dealers, with **paper-heavy processes**
- **slow credit approvals** and **low acceptance rates** vs. competition

2 | To unlock the B2B opportunity by 2030, Eurobank needs to rethink its strategy across 3 pillars

Pillar	Objective	Initiatives
Product & Commercial	**Enhance B2B financing portfolio** for dealers and RACs and link **B2B commercial terms** with **ERB SoW in retail financing**	• Enhance new **floor plan** product structure (e.g., introduce monthly interest payments and interest-free period) for **new inventory** • Relaunch **stock finance,** targeting **used auto dealerships**, and leverage importer certified used car programs (e.g., Toyota Approved) • Link **B2B financing terms with Eurobank SoW in retail financing**, to protect and increase penetration in the retail business • **Launch** ballon financing with buy-back options for **RACs**
Systems and processes	Offer a **digital platform** to streamline dealer and RAC **onboarding, servicing** and **inventory monitoring**	• Enhance **digital platform** for dealers and RACs to streamline **credit origination** and **disbursement** (e.g., dealer onboarding, disbursal, repayment tracking, error handling) • Integrate the platform with **dealer management systems** (DMS) for real-time visibility on inventory (incl. COC[1]) and repayment tracking, incl. monitoring of receivables pledged as collateral
Credit appetite	**Evolve credit models** to support more flexible **underwriting** and **broaden market reach,** leveraging **vehicle repossession** to mitigate risk	• Implement a **tiered credit approach** to **differentiate** B2B **financing amount** and **pricing** based on dealer risk profile, financials and available risk mitigants – e.g., **light collateral, faster approval** and **better pricing** for **top-tier clients**, **progressive credit exposure** increase for new entrants • **Review risk appetite** and **credit models** (e.g., integrate dealers' commercial and behavioral data) to enable **market-aligned credit assessments**

Develop **repossession capabilities required** to allow **loan collateralization** *(detailed next)*

1. Certificate of Conformity

2 | Repossession – Illustration of potential journey for ERB leveraging external partners

Step	Legal repossession	Asset recovery	Storage	Inspection	Remarketing
Description	After **default notices** are **issued**, lender gains **contractual** and **legal right** to **repossess** the vehicle and authorizes **repossession agents** to proceed with **recovery**	Vehicle is **located**, **secured** and **retrieved**, and then **transported** to the **storage facility** preferred by the lender	Vehicle **custody** is **documented** (e.g., condition, date of arrival) and is **stored** in a gated, **monitored** area within **storage facility**	Vehicle goes through **inspection** (interior, exterior, engine, tires, electronics) for **wear**, **damage**, **missing parts** and **market value** is estimated by inspector	Vehicle is prepared for **remarketing** (e.g., cleaning, minor repairs) and routed to **auction house**, **dealership network** or **marketplace** for resale
Responsible partner	Repossession agent	Repossession agent	Storage facility rented by ERB	De-fleeting company / inspector	ERB
Potential partner	doValue	doValue	**TBD**	DEKRA IMPERIAL	**ERB dealer network** car.gr
	Partner's interest to extend partnership on car repossession to be assessed				
Average timing	**~1 month** for leasing **~10 months** for loan	**~1-2 weeks**	**~60-90 days** for a used car in good condition		
ERB required capabilities	SLA team to **steer external partners**				**Remarketing channel strategy** (which car on which channel)

3 | Entering leasing market –Key insights

- ERB currently holds a **leading position** in the **retail auto loan segment** with **~20% market share** of the total retail market (incl. leasing).
- Market is **gradually shifting** from **ownership** to **usership** with leasing expected to represent **~40%** of the total **Retail[1] RAR market** by **2030.**
- **If Eurobank does not enter the retail leasing,** its **retail MS** will **reduce** to **~15%** by 2030 (i.e., assuming it maintains its position in autoloan).
- Currently the **retail market** is led by:
  - **Rent-a-Car companies** (e.g., Hertz, Avis) and **Greek dealer Groups** (e.g., Sfakianakis group) **providing operating leasing omnichannel;**
  - **New-generation mobility players** (e.g., Spotawheel, Instacar, FlexCar) offering **fully-digital solutions,** mostly focused on subscription (<12 months).
- At the same time, **leading global Corporate LeaseCos** (e.g., Arval, Ayvens) **are expanding into Retail[1] segments** through white-label offerings via dealers.
- **Dealers** are currently **dissatisfied with existing players**, mainly due to **lack of control** of **customer relationship**; this creates an opportunity for Eurobank to enter with a **distinctive model** that puts **dealers at the center**, allowing them to manage the services and client relationship.
- There are **2 alternative options for Eurobank to enter the market**
  1. **Grow organically, starting from financial leasing and progressively build an operating lease offering:** +10-15M€ RAR upside by 2030, but higher time-to-market and execution risk linked with build-up of internal capabilities (35-45 FTEs hiring) - although example of successful entrance exist (e.g., Spotawheel in Greece, Huk-Coburg in Germany); preliminary capex assessment highlighted that Eurobank can leverage Eurobank leasing current core leasing system with limited capex required to upgrade the module;
  2. **Grow inorganically through a JV with a Leasco (A)** (6-8M€ RAR) or **an acquisition of a specialized player (B)** in the market (potential RAR depending on target), resulting in an easier route to market leveraging on partner/target capabilities.
- **Preliminary assessment** of **option 2** highlighted **limited feasibility** for the **inorganic entry routes**:
  A. **JV with a Leasco**: no strategic rationale identified, as most LeaseCos already serve all customer segments and offer white-label solutions through dealers, reducing their incentive to partner with Eurobank.
  B. **Acquisition of a specialized player:** Spotawheel identified as the sole potential target to date, but showcases downsides: operating lease still manual, not core vs. core trading business (accounting for ~30% of revenue), focus only on used cars;
- To determine the best path forward, a **detailed business case** is needed for **option 1**, including **yearly opex** and **capex** to **assess ROI**, while for option 2, a **deeper feasibility assessment** is **recommended** to validate the initial view that the Greek market may offer limited opportunities

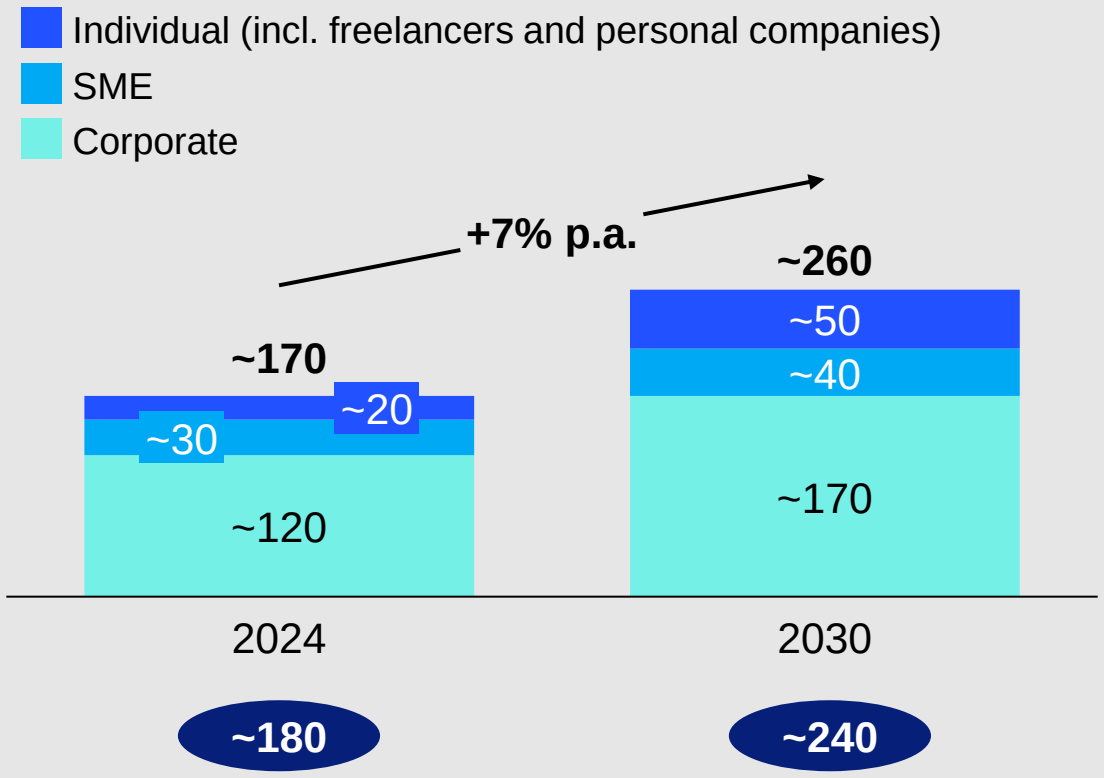
1. Individual (incl. freelancers and personal companies) and SME

3 | Operating lease is a burning platform ERB must address by 2030

Why Eurobank should go into the retail lease market

- ERB currently holds a **leading position** in the **retail auto loan** segment with **~20%** **market share** of the **total retail market** (incl. leasing)
- Market is **gradually shifting** from **ownership to usership** with leasing representing **~40%** of the **total individual and SME RAR market** by 2030 (or **~20%** of cars financed underlining **high product profitability**)
- **If Eurobank does not enter the retail leasing market,** its **total retail market share** will **reduce to** **~15%** by 2030 (assuming it maintains its leading position in the auto loan segment)
- In addition, **entering the retail leasing space** could allow Eurobank to capture an additional value on the **corporate segment**

Leasing market evolution 2024-2030, RARM€



3 | Eurobank can enter the market by building distinctive partnerships with dealers

Non exhaustive

Target ERB market | xx 2024 RAR,M€ | xx 2030 RAR,M€

Channel

Does not include OEM captives

Segment	Independent dealer channels	Direct channels
Individual[1] ~20M€ ~50M€	**Leading global RACs, dealer-owned LeaseCos** providing **mid-term to long-term operating leasing** across channels Hertz LEASING, AVIS, Kinsen, Europcar, SIXT, Executive Lease, SFAKIANAKIS GROUP ~40M€ ~70M€	**New-generation mobility players** offering only **direct fully-digital** operating leasing, primarily through **flexible car short-term subscription models** instacar, spot wheel, FlexCar ~10M€ ~20M€
SME ~30M€ ~40M€		
Corporate ~120M€ ~170M€	**Leading global LeaseCos** with an omnichannel value proposition in Corporate, **expanding** into **individual** and **SME** through **white-label offerings via dealers** ayvens, ARVAL BNP PARIBAS GROUP ~120M€ ~170M€	

Eurobank can enter the **operating leasing market** through **omnichannel partnerships** with **independent dealers** at the center, enhancing their customer retention management and control

Interviews with dealers revealed dissatisfaction with current LeaseCo offerings, mainly due to lack of control over the customer relationship

1. Incl. freelancers and personal companies

3 | ERB's competitive edge lies in sales, while initially lagging in services and operations

+ ERB Competitive advantage = Little-to-no differentiation − ERB Strategic disadvantage

Activity	LeaseCos and RACs	Mobility players	Rationale
Sales	+	+	Dealer **at center of ERB partnership**, driving stronger **customer retention** and control
Procurement	=	+	Comparable **discounts from wholesales** (e.g., Toyota) to ERB and LeaseCos **Higher bargaining** power vs. **mobility players**
Funding	=	+	**Comparable cost** of **funding of LeaseCos owned by major banking groups** (e.g., BNPP) and **RACs** Competitive **funding cost advantage** for ERB vs. **mobility players**
Services	−	+	Disadvantage for ERB from **delayed market entry** vs. established players despite **comparable negotiating terms** *Potentially lower margin in first years*
Operations	−	−	**Extended timeline** for ERB (~3+ years) to adopt **leasing curve**, build **asset management** capabilities, and steer **external partners**
Insurance	=	=	Use of **internal capabilities** by ERB (internal body)
Remarketing	−	−	**Limited diversification** of remarketing channels for ERB (mainly **dealer buy-back** agreements), resulting in potentially **lower after-sales margins** vs. LeaseCos and mobility players

3 | Two strategic options for Eurobank to enter the market, with organic development as the most feasible

Low High

Preliminary assessment highlighted that ERB can leverage ERB Leasing core leasing system with limited Capex required to parametrize the module

		Description	RAR in 2030[1]	Capex	Time-to-market	Execution risk	Feasibility (preliminary)
A Grow organically starting from financial lease		Develop organically a **branded offering** for **financial lease and operating lease** leveraging **dealers for services**	~12-15M€ **~10-15k fleet** with value at stake **fully captured by ERB** (~3-5M€ Opex)	TBD **Leasing tools** (contract mgt., remarketing) **IT development** (RV, pricing), **marketing**	12-24 months Time to **recruit** and **build greenfield processes in-house** (e.g., RV, pricing, remarketing)	Recruiting **scarce capabilities** in Greece (~40 FTEs)	Example of **successful banks** developing an organic lease offering
B Grow inorganically	i Form a JV with a LeaseCo	Partner with a **LeaseCo** to access its **established capabilities** and share profits within a JV	~8-10M€ Potential **higher market share** in the market (**~15-20k fleet**) with value at stake **shared with partner**	TBD Integration of **partner's existing tools** with **dealers** **Marketing** investments	~12 months Typical timing to **build a JV and go live**	**Integration** with the **dealer**	**No strategic rationale identified** for a LeaseCo to partner with ERB (e.g., already cover all segments and offer white-label solutions via dealers)
	ii Buy an existing player (target)	Acquire a player to leverage its **established capabilities** and **customer base**	*Depending on target* Value at stake **fully captured by ERB**	*Depending on target* Integration of **target's existing systems** with ERB's	~12 months Typical timing between **negotiation and closing**	**Integration risk** with current **ERB processes**	**Spotawheel** identified as the sole **potential target** to date, but showcases downsides: operating lease still **manual**, **not core** vs. trading business (~30% of revenue), focus only on **used cars**

1. Opex includes only FTE expenses; to be sized ammortisation and other operating expenses

3 | Overview of target capabilities to build

Potential outsourcing | Eurobank | Dealer | Partner (e.g., de-fleeting company)

Activity		Stakeholder	Capability for Eurobank to develop	FTE need	Capex	
Product	Pricing and RV mgt.	Eurobank	**Technical pricing model**[1] at brand x model level, **RV model** at brand x model level	~5-6	TBD	**Pricing and quotation engine**, **RV data** from quoters
Procurement	Procurement	Eurobank	**Negotiation power** to buy the car at a discount, **mgt. of dealer partnership** for services	~3-4	-	
Sales	Dealer channel sales	Dealer	-	~1-2	-	
	SME direct sales	Eurobank	Target **customer segmentation**, **lead and opportunity** tracking, **pipeline management**	~5-6	-	
Risk	Financing (credit, KYC)	Eurobank	*Existing capability*	~2-3	-	
Service & operations	Customer service	Partner	Servicing of drivers on **contract mgt. operations**, **contract-related inquiries**, after sales	~10-12	-	
	Insurance / Claims mgt.	Partner	*Existing capability*	~2-3	-	
	Services	Dealer	Management of **receivables**	~2-3	-	
	Collection / Repossession	Eurobank	Management of **collection** and car-related **invoices**	~2-3	-	
After sales	De-fleeting	Partner	- *SLA team*	~2-3	TBD	**Core leasing system**
	Remarketing	Eurobank, Dealer	**Remarketing channel strategy** (which car on which channel)	~2-3	TBD	**Remarketing tool**
Total				~35-45	TBD	

*Starting with only financial lease would require **~10-12 FTEs***

1. Maintenance, repairs, RV, discount, funding

3 | Case example: Spotawheel was able to organically build a fleet of ~5k cars in 3 years in operating lease for individuals and SMEs

spot wheel

	2022 Year 1	2023 Year 2	2024 Year 3	2025 Year 4
Fleet size	~200 cars	~1,200 cars	~2,600 cars	~4,500 cars
#FTEs	~15 FTEs	~22 FTEs	~28 FTEs	~34 FTEs
Gross margin annualized	~56%	~54%	~52%	~51%
Avg. net monthly installment excl. VAT	~350€ / month	~350€ / month	~350€ / month	~350€ / month
Gross profit annualized	<1M€	~3M€	~7M€	~12M€
FTE requirements	**3** outbound calls, **2** product, **3** direct sales, **3** mgt., **1** claims, **2** after sales, **1** accounting	**+2** direct sales, **+1** after sales, **+2** accounting, **+2** customer service	**+1** direct sales, **+2** after sales, **+3** customer service	**+1** direct sales, **+2** after sales, **+3** customer service

Higher gross profit per car on subscription

Very limited Capex over 3 years: (1) license for **accounting software** (contract mgt., asset tracking, booking, statutory accounting), **(2)** license for **collections software**, **(3) RV data** from quoter for new car prices

Non mature processes, e.g., **pricing** in **simple excel spreadsheets**, **web scraping of Car.gr** for **used car prices**

3 | Case example: HUK-COBURG has reacted to that and expanded its traditional insurance business with a mobility ecosystem

HUK-COBURG

1933

Focus on motor insurance

HUK-COBURG was **founded as motor insurer** in Germany

Today, **25% market share** in motor and **combined ratio of ~85%**

2000

Direct-only brand HUK24

Founded **HUK24 brand** as direct-only insurance company

Today, HUK24 is **Germanys largest direct-insurer**

HUK24 DIGITAL. EINFACH. GÜNSTIGER.

2002

Partner workshop network

Established network of **1,600 partner work-shops** for active claims steering to reduce costs

Provides network to **10 other insurers** under a neutral brand

DIE PARTNER WERKSTATT Schadenservice

2016

Ecosystem around cars

Begun building a **mobility ecosystem beyond insurance: Launched** telematics, car maintenance and service, and used car sales servicing

2019

Ecosystem expansion

Continued expanding ecosystem, launching a partnership with Carglass for 70 car purchase locations

CARGLASS

2021

Car subscription service

Launched car subscription service, including cars at all price ranges (incl. Polestar)

HUK-AutoAbo

2022

Acquisitions for scale-up

Acquired stakes in car service chain **pitstop to broaden reach of car service** offering with 300 additional service locations

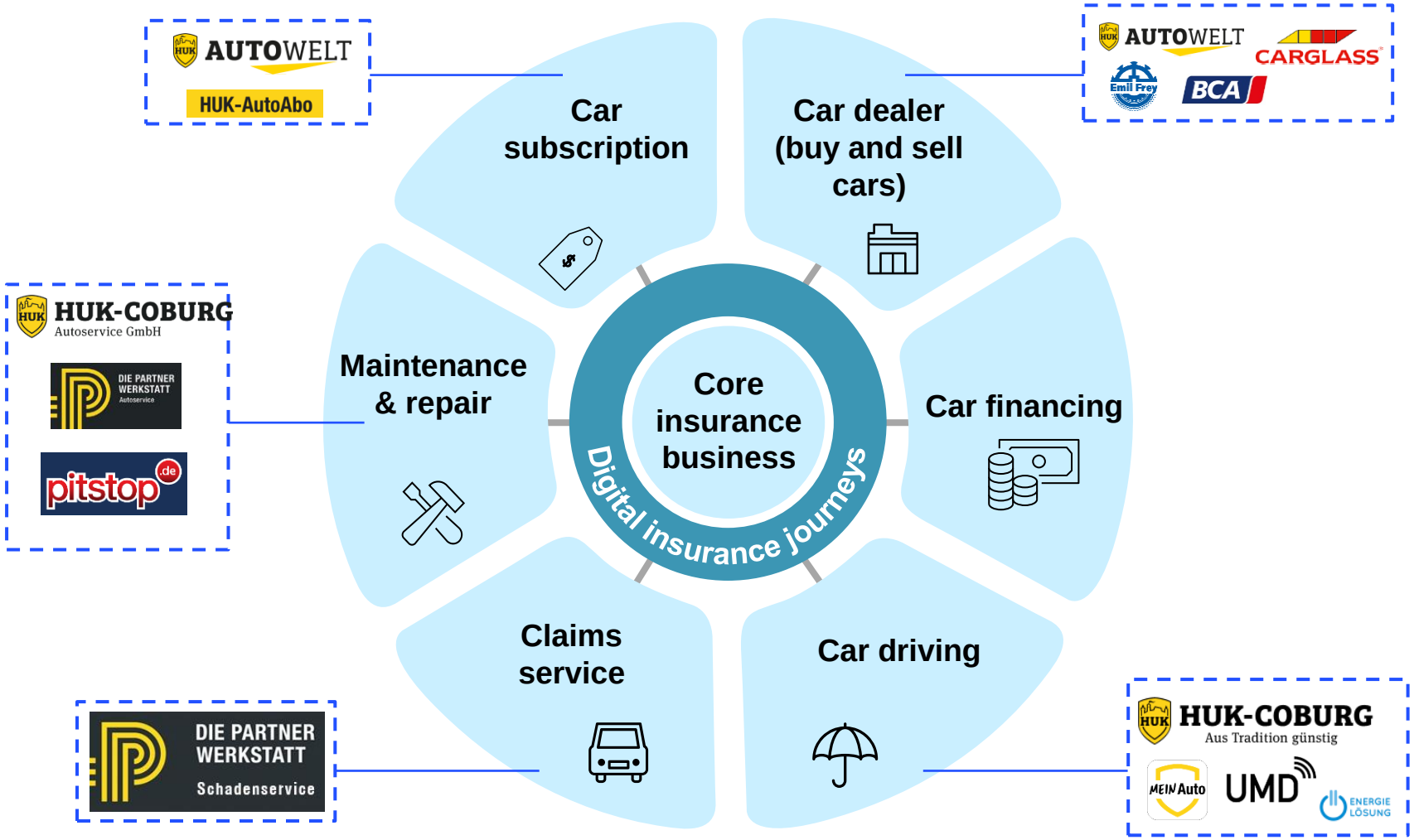
pitstop.de

Our work is no longer just about insurance. Rather, we are concerned with offering an entire mobility ecosystem. Customers should automatically think of HUK-Coburg when they want to be mobile. That's why we don't just have to offer good insurance solutions. Instead, we need to ask ourselves how we can maintain the crucial direct link to the customer via a wide range of other activities."

Dr. Jörg Rheinländer (board member for P&C and claims), 2018

3 | Case example: HUK-COBURG built an ecosystem to cover the mobility journey

HUK-COBURG



1. Upgrade of tariffs with telematics (Mein Auto or accident reporting dongle)

OUTSIDE-IN ASSESSMENT

HUK-COBURG

HUK-Coburg **orchestrates an ecosystem for mobility**

For example, in the insurance coverage/services it **offers telematic apps which reduce premiums** – e.g. for HUK up to 30%, with 10% guaranteed in the first year

A key piece of HUK-Coburg's ecosystem is that preferred partner garages are leveraged extensively for the repair of motor claims. Vehicle maintenance and repair services at high quality and low prices are offered via partner garages

3 | Two ways for ERB to enter the leasing market inorganically

Inorganic options for ERB to enter the market	Build a joint venture with an existing player		Take a controlling interest in an existing player
Archetype	**Leading global LeaseCos** with an omnichannel value proposition in Corporate, **expanding** into **individual** and **SME** through **white-label offerings via dealers**	**Leading global RACs**, **dealer-owned LeaseCos** providing **mid-term to long-term operating leasing** across channels	**New-generation mobility players** offering only **direct fully-digital** operating leasing, primarily through **flexible car short-term subscription models**
Key players	ayvens (Societe Generale Group); ARVAL (BNP Paribas Group)	*European RACs*: Hertz Leasing, AVIS, Europcar, SIXT; *Dealer-owned LeaseCos*: Executive Lease, Sfakianakis Group, Kinsen	spot wheel, instacar, FlexCar
Fit for purpose for ERB			
Feasibility assessment	*Existing relationships with dealers and currently expanding to individuals and SMEs*	*Existing relationships with dealers and already covering individuals and SMEs*	*Depending on each player and its ownership structure* ***Detailed next***

3 | Preliminary assessment suggests there is no viable target for M&A in Greek market

Global RACs, dealer-owned LeaseCos | Mobility players

OUTSIDE-IN ASSESSMENT – DOES NOT IMPLY THAT ERB SHOULD NOT TEST PLAYERS' INTERESTS

Player	Technical know-how	Systems / tools	Market share	Potential mismatch with ERB vision	ERB Fit-for-purpose	M&A feasibility assessment
Hertz Leasing	✓	✓	~35%	-		~60% controlling interest by Vassilakis Family Estate
AVIS	✓	✓	~30%	-		Controlled by a JV between Turkish player and Avis Budget Group
Executive Lease / Sfakianakis Group	✓	✓	<5%	Monodealer LeaseCo, not currently serving other dealer groups		Owned by dealer group Sfakianakis
SIXT	✓	TBD	<5%	-		Owned by dealer group / importer Motodynamics through Lion Rental
Europcar	✓	TBD	<5%	-		Operated by Kinsen Hellas as a franchise of Europcar Mobility Group
spot wheel	✓		~5%	Leasing still manual, not core (~30% of revenue), vs. trading business mostly focused on used		Potential IPO path considering recent Series B funding of ~100M€
instacar	✓ *Only operating in subscription*	✓	~5%	Competitor of dealer and positioning on subscription		~40% stake currently held by Vassilakis Group, with intentions to secure majority control
FlexCar	✓ *Only operating in subscription*	✓	~10%	Competitor of dealer and positioning on subscription		+150M€ equity funded by VC, implying high expected returns and costly payback

4 | Expand digital presence –Key insights

- **Customers are increasingly shifting toward digital channels,** with online-initiated B2C and C2C financing (incl. cash loans used for auto purchases) **expected** to **represent approximately 20% of total auto financing**

- While **physical channels will remain dominant in Greece** over the next five years (~80% of financing through dealers), Eurobank should **expand its digital presence** to engage customers early in their purchase journey and support its partners (dealers and OEMs) omnichannel

- 2 main initiatives have been identified for Eurobank to enter the third-party digital financing:

  A. **Launching B2C and C2C journeys on digital marketplaces** +3-4M€ RAR:
     1. Expand retail financing on *Car.gr*, differentiating from competitors by i) offering **car cash loans** to all individuals' (C2C) listings; ii) providing **pre-approved auto loans** on listings from Eurobank's dealer network (B2C) to generate leads for partner dealers;
     2. Collaborate with *Cardom* to offer **end-to-end digital auto loans**

  B. **Partnering with Toyota to embed Eurobank financing into their online platform**, enabling seamless financing for customers while increasing its SoW (+1-2M€ RAR)

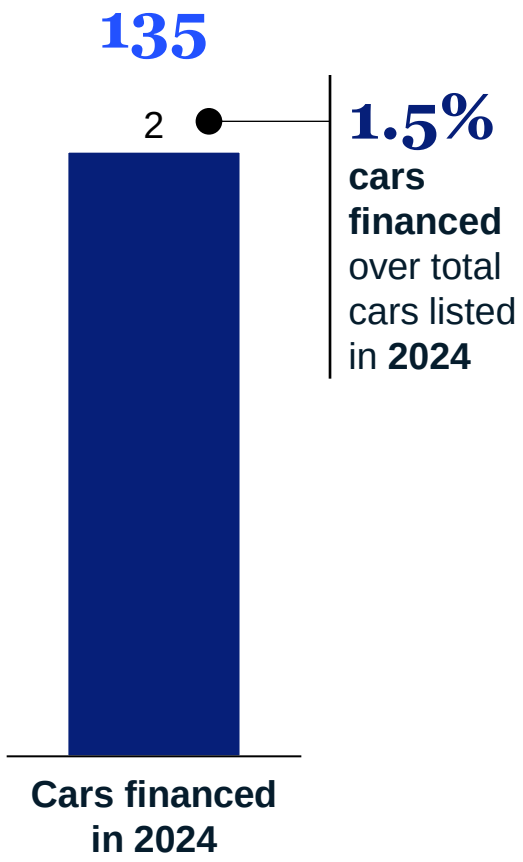
- Additionally, after securing relationship with dealers through B2B financing, **Eurobank** can enhance its **brand positioning in auto financing** by launching a **branded direct-to-consumer (D2C) "cash loan for auto"** (+2-3M€ RAR by 2030)

- A **preliminary capex estimate** for this initiative has been developed, amounting to ~**1-2M€ Capex**

4 | The existing financing offering on digital platforms is constrained, with low financing rates: Example of Car.gr

XX Total car listings, k#

Market of cars financed in Car.gr in 2024, k#



Overview of auto financing options on Car.gr

Financing partner	Product	Target customers	Channel	Terms	Financing customer journey	Overall breadth of the offer
ALPHA BANK	Cash loan	***Alpha Bank*** *customers* ***only***	***C2C*** *and* ***B2C*** *only* ***non-partnered dealers***	• Up to **5 k€** • Interest rate: **13%**[1]	E2E digital	**Limited** to a restricted set of clients and channels
Santander Consumer Finance	Auto loan	***All customers***	***B2C*** *only* ***partnered dealers***	• Up to **150 k€** • Interest rate: **12.5%**	Digital application, loan signing and disbursement at dealers'	**Medium**, restricted to partner dealers
tbi bank	Cash loan	***All customers***	***C2C*** *and* ***B2C*** *only* ***non-partnered dealers***[2]	• Up to **15 k€** • Interest rate: **16%**	E2E digital	**Extensive coverage**, but less attractive pricing conditions

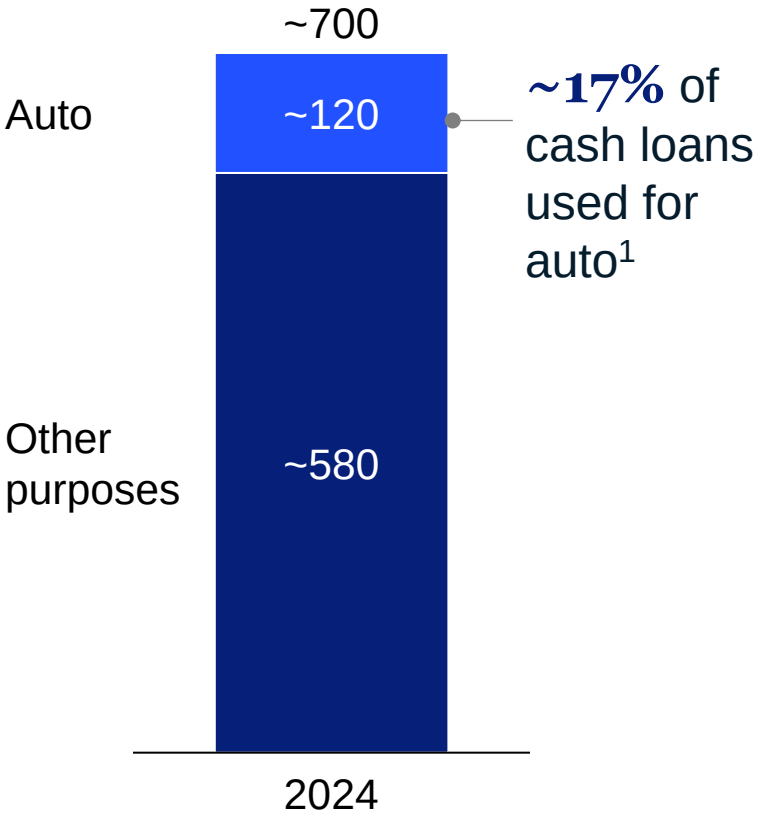
1. Borrowers who receive their salary or pension into an Alpha Bank account benefit from a discounted rate of 11%
2. Coverage in B2C significantly higher than Alpha Bank, as TBI Bank has less establish relationships with dealers than Alpha Bank

Source: press, company website, interviews

4 | In Greece 17% of consumers use cash loan for auto purposes, as a Bank's branded auto loan offering is limited

Non-exhaustive

Consumer cash loan market, loan disbursements,M€



Patial D2C branded (cash) loan for auto

D2C branded car (cash) loan for auto

Market of branded D2C loan financing for auto

	Greece		Europe	
Systemic banks	NATIONAL BANK OF GREECE	✗	Postbank, TARGOBANK, ING	✓
	Piraeus	✓ EV car loan	LA BANQUE POSTALE, CA, BNP PARIBAS	✓
	EUROBANK	✗	BBVA, CaixaBank	✓
	ALPHA BANK	✓ EV car loan		
Specialized auto finance players	VOLKSWAGEN BANK	✗	Santander BANK	✓
	BMW Financial Services	✗	N/A	✗
	CA AUTO BANK	✗	Santander, ibancai	✓
	Santander	✓		

1. From ERB 2024 customer survey

4 | Eurobank can diversify its digital footprint through three strategic initiatives, capturing 6-9M€ RAR by 2030

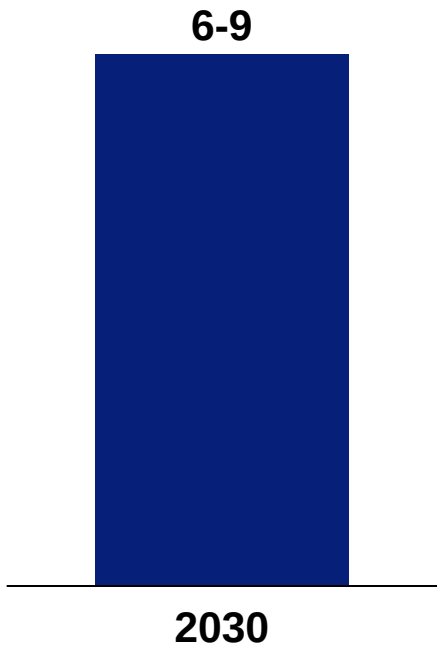
Detailed next

xx ERB RAR[1],M€

2030 potential for Eurobank, RAR[1]M€

Cars financed, # 5-7 k

Loan disbursements, €M 50-70



Potential initiatives for Eurobank to target this market

Channel	Digital platform	Product	ERB MS, %
Digital marketplaces	Car.gr	• **Car cash loan** (individual listings) • **Auto loan** with conditional pre-approval (dealers' listings)	30-40% 3-4M€
	CARDOM	• **Auto loan**	
OEM direct channels	TOYOTA	• **Auto loan**	100% 1-2M€
ERB direct channels	EUROBANK *(e.g., Mobile app, website, branches)*	• **Car cash loan**	2-3M€

1. Revenue after risk

Timeline and next steps

✓ Completed activity

	3 weeks	4 weeks	1 week
	Market insights and idea generation	**Concept testing and impact evaluation**	**Strategy fine-tuning and implementation plan definition**
Key Activities	✓ **Assessment** of **Greek market** and **competitive landscape** ✓ **Assessment** of **best-practice** ✓ **Identification/fine-tuning** of **value creation opportunities,** and definition of business model and value proposition ✓ **Evaluation** of **value** at **stake** ✓ **Evaluation** of **possible design options** for **how** to **win** ✓ **Preliminary assessment** of **operational capabilities** required	✓ **Development of a comprehensive go-to-market strategy** for **how to win** in prioritized initiatives ✓ **Detailing of technical and operational capabilities** required ✓ **Assessment** of **potential development strategy** (e.g., internal development vs. partnership) for **"how** to **execute"**	• **Finalization of high-level Capex** and **Opex estimation** and calculation of ROI for identified initiatives • **Development** of **implementation roadmap** and **scale-up plan** • Finalization of **high-level B2B** and **C2C digital customer journey**
Deliverables	• **Where to play** • Preliminary **value at stake** • **Design options** for **how to win**	• **How to win** for **prioritized initiatives** • **Evaluation** of **potential alternatives** for **how** to **execute**	• **Comprehensive business strategy** with **where** to **play, how** to **win** and **how to execute**
	1st Steering Committee	**2nd Steering Committee**	**3rd Steering Committee**